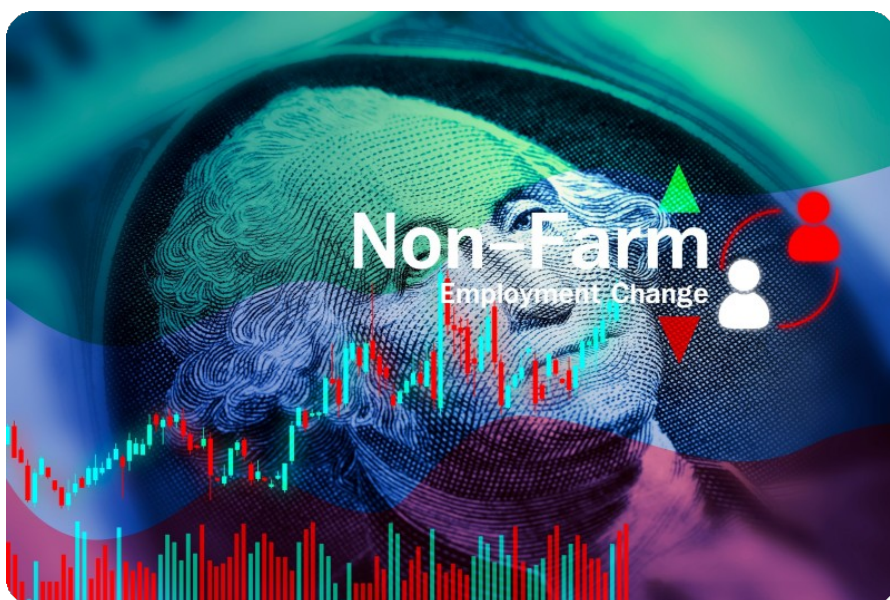


Article | 7 August 2026

RATES SPARK

Rates Spark: More guidance from jobs data than the Fed

The Fed is leaving markets guessing on rates, with a September hike still a close call. This turns the focus to today's US jobs report, while resilient risk sentiment and elevated real yields keep long-end rates under pressure



With a close call between a hold or hike by the Federal Reserve in September, markets will turn their attention to today's jobs data

Markets turn to jobs data amid limited Fed guidance

At its last meeting, the Federal Reserve did not provide any clarity on its interest rate path, with the market still viewing the September FOMC decision as something of a coin toss between holding and hiking rates. Until then, markets will still get two inflation and two jobs reports. One of the latter is up for release today.

While recent activity indicators still pointed to stronger momentum, the signals for the jobs market were actually more mixed, with the employment subcomponent of the important services ISM coming in particularly weak. On the other hand, weekly initial claims numbers have been undershooting expectations of late. For Friday's release, the market median consensus is looking for a non-farm payrolls increase of 80k, although there appears to be a clustering around a slightly lower number of 75k. Our economist also sees the median

consensus on the slightly high side, if anything, and a lower reading should leave the Fed with all options into the next meeting – but that is already reflected in market pricing. The unemployment rate is expected to stay at 4.2%.

More generally, market optimism remains upbeat looking at the broader risk markets, in particular equity markets. This in turn helps keep the 10y yield in the US above 4.6% and the 10y Bund just above 3.10%. And it is indeed real interest rate components that are keeping longer-term rates at elevated levels while inflation expectations have come down again this week. Oil managed to dip below \$80 on Thursday, although overnight news was not supportive of an imminent deal and prices bounced higher again. Markets have been eyeing an agreement around the Strait of Hormuz by the end of this week, but as we approach the deadline, confidence will likely fall further.

Friday's events and market view

The main focus on Friday is the official US jobs report for July. The median estimate is looking for an 80k increase in non-farm payrolls after 57k in June and an unchanged unemployment rate at 4.2%. The Fed's Tom Barkin is scheduled to speak at a fireside chat shortly after the jobs data release.

The only government supply comes from a small reverse inquiry auction out of Belgium.

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